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Segura, et al v. FCA US LLC, et al.,

Case No. 24PSCV03840

ORDER ON MOTION

FOR JUDGMENT ON THE PLEADINGS

Defendant FCA US,

LLC's Motion for Judgment on the pleadings is DENIED.

Background

Plaintiffs

Matthew Segura and Michael Segura ("Plaintiffs") allege as follows:

On or about October 30, 20219,

Plaintiffs entered into a warranty contract with FCA US LLC ("FCA") regarding a 2020 Jeep Gladiator, VIN No. 1C6JJTBG6LL13877 ("subject vehicle"). Plaintiffs purchased the subject vehicle as manufacture with FCA's defective engine. FCA knew since prior to Plaintiff's purchase of the subject vehicle that 2020 Jeep Gladiator vehicles equipped with a 3.6L engine had one or more defects that could result in various problems, including, but not limited to, loss of power, stalling, engine running rough, and engine misfires,(the "Engine Defect").

On April

16, 2025, Plaintiff filed a First Amended Complaint ("FAC" or the "Operative Complaint"), asserting causes of action against FCA, Puente Hills Chrysler Dodge Jeep Ram and Does 1-10 for: (1) Violation of Subdivision (d) of Civil Code Section 1793.2, (2) Violation of Subdivision (b) of Civil Code Section

1793.2, (3) Violation of Subdivision (a)(3) of Civil Code Section 1793.2, (4) Breach of the Implied Warranty of Merchantability, (5) Negligent Repair, and (6) Fraudulent Inducement—Concealment.

A

Post-Mediation Status Conference / Case Management Conference is set for November 18, 2026.

Legal Standard

A defendant may move for judgment on the pleadings on the grounds that: (1) the court has no jurisdiction of the subject of the cause of action alleged in the complaint; or (2) the complaint does not state facts sufficient to constitute a cause of action against that defendant. (Code Civ. Proc. § 438, subd. (c)(1)(B)).

“The standard for granting a motion for judgment on the pleadings is essentially the same as that applicable to a general demurrer, that is, under the state of the pleadings, together with matters that may be judicially noticed, it appears that a party is entitled to judgment as a matter of law. (*Bezirdjian v. O'Reilly* (2010) 183 Cal.App.4th 316, 321-322 [quoting *Schabarum v. California Legislature* (1998) 60 Cal.App.4th 1205, 1216].) Any defects must either appear on the face of the pleading, or else be taken by judicial notice. (*Id.* at 321-22.)

The parties' ability to prove their respective claims is of no concern. (Cloud v. Northrop Grumman Corp. 67 Cal.App.4th 995 at 999.) Though the Court must accept the factual allegations of the complaint as true (Gerawan Farming, Inc. v. Lyons (2000) 24 Cal.4th 468, 515), it will not do so for "conclusions of law or fact, opinions, speculation, or allegations contrary to law or [judicially noticed] facts...." (Stevenson Real Estate Servs., Inc. v. CB Richard Ellis Real Estate Servs., Inc. (2006) 138 Cal.App.4th 1215, 1219–20.)

“On a motion for judgment on the pleadings, leave to amend should be granted if there is any reasonable possibility that the plaintiff can state a good cause of action.” (Lowry v. Port San Luis Harbor Dist. (2020) 56 Cal.App.5th 211, 221 [internal quotations omitted].) “The burden of proving such reasonable possibility is squarely on the plaintiff.” (Id.)

Discussion

FCA

moves the Court, pursuant to Code of Civil Procedure section 438, for judgment on the pleadings as to the fourth and sixth causes of action in the Operative Complaint.

Fourth Cause of Action (i.e., Breach of Implied Warranty of Merchantability)

FCA

asserts that Plaintiff's fourth cause of action is time-barred by Civil Code section 1791.1, which provides that "[t]he duration of the implied warranty of merchantability and where present the implied warranty of fitness shall be coextensive in duration with an express warranty which accompanies the consumer goods, provided the duration of the express warranty is reasonable; but in no event shall such implied warranty have a duration of less than 60 days nor more than one year following the sale of new consumer goods to a retail buyer."

In *Mexia v. Rinker Boat Co., Inc.* (2009) 174

Cal.App.4th 1297, the plaintiff sued the defendants for breach of the implied warranty of merchantability under the Song-Beverly Act, asserting that he purchased a boat that was unmerchantable due to a latent defect which subsequently caused the boat's engine to corrode. The defendants successfully demurred to the complaint, arguing that section 1791.1 was a one-year statute of limitations that barred plaintiff's claim. On appeal, the defendants conceded that 1791.1 was not a statute of limitations and that the applicable statute of limitations was four years (i.e., pursuant to Commercial Code section 2725). The defendants nevertheless argued that section 1791.1 "should be interpreted as barring an action for breach of the implied warranty of merchantability when the purchaser fails to discover and report the defect to the seller within the time period specified in that provision." (Id. at 1301.) The court rejected this argument, holding that "the statute merely creates a limited, prospective duration for the implied warranty of merchantability; it does not create a deadline for discovering latent defects or for giving notice to the seller." (Id.)

Here, Plaintiffs have alleged that the subject vehicle was sold with latent defects and that they “discovered Defendants’ wrongful conduct alleged herein shortly before the filing of the complaint.” (FAC, ¶ 8.)

FCA’s judgment on the pleading to the fourth cause of action is denied.

Sixth Cause of Action
(i.e., Fraudulent Inducement—Concealment)

FCA asserts that Plaintiffs’ sixth cause of action is time-barred by the three-year statute of limitations set forth in Code of Civil Procedure section 338, subdivision (d). Again, Plaintiffs have alleged that they discovered Defendants’ wrongful conduct alleged herein shortly before the filing of the complaint following unsuccessful attempts to repair them. FCA’s judgment on the pleading is denied on this basis.

Next, “[t]he elements of an action for fraud and deceit based on concealment are: (1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage.” (Boschma v. Home Loan Center, Inc. (2011) 198 Cal.App.4th 230, 248 [citation and internal quotations omitted].)

“A duty to disclose a material fact can arise if (1) it is imposed by statute; (2) the defendant is acting as plaintiff’s fiduciary or is in some other confidential relationship with plaintiff that imposes a disclosure duty under the circumstances; (3) the material facts are known or accessible only to defendant, and defendant knows those facts are not known or reasonably discoverable by plaintiff (i.e., exclusive knowledge); (4) the defendant makes representations but fails to disclose other facts that materially qualify the facts disclosed or render the disclosure misleading (i.e., partial concealment); or (5) defendant actively conceals discovery of material fact from plaintiff (i.e., active concealment).” (Rattagan v. Uber Technologies, Inc. (2024) 17 Cal.5th 1, 40.)

“Circumstances (3), (4), and (5) presuppose a preexisting relationship between the parties, such as. . . parties entering into any kind of contractual agreement.” (Id.)

The Court determines that Plaintiffs have sufficiently pled the elements of fraudulent inducement—concealment.

Plaintiffs have alleged that they entered into a warranty contract with Defendant for the subject vehicle (FAC, ¶ 10); that the subject vehicle was manufactured and/or distributed by FCA (Id.); that they purchased the subject vehicle as manufactured with FCA’s defective engine (Id., ¶ 23); that transmission defects manifested themselves within the applicable express warranty period (Id., ¶ 20); that FCA knew since prior to Plaintiffs purchasing the subject vehicle that the 2020 Jeep vehicles equipped with a 3.6L engine are defective, have one or more defects that can result loss of power, stalling, engine running rough, engine misfires, failure or replacement of the engine (the “Engine Defect”) (Id., ¶ 24); that the Engine Defect is a safety concern because it can suddenly affect the driver’s ability to control the vehicle or cause a non-collision vehicle fire (Id., ¶ 25); that FCA acquired its knowledge of the Engine Defect prior to Plaintiffs acquiring the subject vehicle, through sources not available to consumers such as Plaintiff, including but not limited to pre-production and postproduction testing data, early consumer complaints about the Engine Defect made directly to Defendant FCA and its network of dealers, aggregate warranty data compiled from Defendant FCA’s network of dealers, testing conducted by Defendant FCA in response to these complaints, as well as warranty repair and part replacements data received by Defendant FCA from Defendant FCA’s network of dealers, amongst other sources of internal information, but failed to disclose this fact to its sales representatives and to Plaintiffs at the time of sale and thereafter (Id., ¶¶ 26-28); that Plaintiffs are reasonable consumers who interacted with sales representatives, considered FCA’s advertisement, and/or other marketing materials concerning the FCA vehicles prior to purchasing the subject vehicle (Id., ¶ 29); that Plaintiffs expected that FCA would not sell or lease vehicles with known safety-related defects, such as the Engine Defect, and would disclose any such defects to its consumers when it learned of them (Id., ¶ 32); that Plaintiffs would not have purchased the subject vehicle, or would have paid less for it, had they known of the Engine Defect (Id., ¶¶ 29 and 32); and that Plaintiffs

unknowingly exposed themselves to the risk of liability, accident, and injury as a result of FCA's concealment of the Engine Defect (Id., ¶ 32).

The

Court rejects Defendant's contention that the foregoing allegations are insufficient.

In *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 844, the First District Court of Appeal determined that the plaintiff's allegations that "CVT transmissions installed in numerous Nissan vehicles (including the one plaintiffs purchased) were defective," that "Nissan knew of the defects and the hazards they posed," that "Nissan had exclusive knowledge of the defects but intentionally concealed and failed to disclose that information," that "Nissan intended to deceive plaintiffs by concealing known transmission problems," that "plaintiffs would not have purchased the car if they had known of the defects," and the plaintiffs suffered damages in the form of money paid to purchase the car" adequately stated a cause of action for fraudulent inducement by concealment. The Court denies FCA's judgment on the pleading on this basis.

The Court also rejects

FCA's contention that there was no transactional relationship giving rise to a duty to disclose; again, Plaintiffs have alleged

that they entered into a warranty contract with FCA regarding the subject vehicle. (Id., ¶ 10.) The Court disagrees with FCA's characterization of *Ford Motor Warranty Cases* (2025) 17 Cal.5th 1122 as standing for the proposition that the existence of a warranty alone does not constitute a transactional relationship. Additionally, "a vendor has a duty to disclose material facts not only to immediate purchasers, but also to subsequent purchasers when the vendor has reason to expect that the item will be resold."

(*OCM Principal Opportunities Fund, L.P. v. CIBC World Markets Corp.*

(2007) 157 Cal.App.4th 835, 851.) The Court denies FCA's judgment on the pleading on this basis.

The Court next rejects

FCA's assertion that Plaintiffs' fraudulent inducement—concealment cause of action is barred by the economic loss rule, which provides that "[i]n general, there is no recovery in tort for negligently inflicted 'purely economic losses,' meaning financial harm unaccompanied by physical or property damage."

(*Sheen v. Wells Fargo Bank, N.A.* (2022) 12 Cal.5th 905, 922.) "The doctrine does not apply if defendant's breach caused physical damage or personal injury beyond the economic losses caused by the contractual breach and defendant violated a duty flowing, not from the

contract, but from a separate, legally recognized tort obligation. A case in which the plaintiff sues a contractual party for fraud based on conduct committed during the course of a contractual relationship falls outside the economic loss doctrine." (Rattagan, supra, 17 Cal.5th at 44.) Plaintiffs' claim is independent of the parties' contractual rights and obligations and thus falls outside the scope of the economic loss rule. The Court denies FCA's judgment on the pleading on this basis.

Conclusion

Defendant's motion for judgment on the pleadings is DENIED.